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largely uninterrupted power earlier. Now, we barely get around 12–13 hours and the power supply is erratic. These days, we irrigate our fields at night when the power supply is steady." The power crisis could not have come at a worse time as the heat wave means his vegetables have to be watered twice daily.

The current power crisis is doubly difficult for farmers like Kushwaha, who had become accustomed to an improved power situation in the state. The per unit cost of electricity for agriculture purposes is Rs 5.55 in Bihar. With a government subsidy of Rs 4.85 per unit, the effective cost is just Rs 0.70 per unit.

As of now, all 45,103 villages in Bihar are connected to the grid. The average number of daily hours of power supply, too, rose from 6–8 hours in 2014 to 18–20 hours in rural areas and from 10–12 hours in urban areas to 23–24 hours.

Currently, however, the demand for electricity in Bihar is close to 5.6 GW whereas the availability from different sources is 5 GW. The state-owned National Thermal Power Corporation (NTPC) has an installed capacity of up to 8.4 GW across six thermal power projects. The power utility, though, is providing just 4.2–4.8 MW daily of the total 5.2 GW allocation.

Bihar energy secretary Sanjeev Hans attributes the power deficit to the sudden spurt in demand due to the early arrival of peak summer and the consequent supply shortfall. The government is now purchasing around 500–600 MW from India Energy Exchange at a higher rate, but it is not enough.

– Amitabh Srivastava

to quickly break the impasse between states and gencos using imported coal. Such gencos account for nearly 16,000 MW capacity currently. Even though the governments of Haryana, Punjab, Rajasthan and Maharashtra have PPAs with Adani Power and Tata Power, they are not getting power because the gencos say they are paying three times the cost agreed to in the PPAs. Since this enhanced cost cannot be passed on to the consumer, it is becoming unviable for gencos to operate the plants. States too argue that PPAs with gencos do not have clauses for passing on the cost of expensive coal to consumers.

Coal transportation being the major factor in the current crisis, there is a suggestion that large utilities be allowed to procure additional coal rakes under the 'own your wagon' scheme. Dedicated corridors can also ease coal movement.

Over the years, the Centre has also announced several bailouts and constituted various committees to rid the system of inefficiencies. In 2015, the Modi government announced its Ujjwal Discom Assurance Yojana or UDAY. Under the scheme, state governments took over 75 per cent of the accumulated debt of discoms, and power utilities were encouraged to initiate reforms like reducing AT&C losses to 15 per cent in 2018-19 and implementing regular tariff hikes of 5-6 per cent annually. While the financial health of discoms improved, AT&C losses went down to only 21 per cent in 2019 from 25.7 per cent in FY15. Experts attribute part of the reason for UDAY's failure to many discoms using the funds not to clean their balance-sheets but to pay for the Modi government's promise to provide electricity connections to homes across the country.



"The power sector in India is a victim of vote and load politics: you announce freebies while the discoms do not get money"

SHAILENDRA DUBEY
Chairman, AIPEF

In July 2021, the central government introduced the Revamped Distribution Sector Scheme (RDSS), a reform-based and results-linked initiative to improve operational efficiencies and financial sustainability of discoms by providing them conditional financial assistance to strengthen supply infrastructure. These included installation of smart meters, cutting line losses and erasing the gap between cost of supply and revenue realisation, all with the aim of restoring the financial viability of discoms. Over Rs 3 lakh crore has been set aside for this scheme to be spent in the next five years. "I